Immediate Financing Arrangement

Protect your estate while earning investment income

As an incorporated business owner, you know the value of having a permanent life insurance plan. Among other benefits, it's an estate planning tool that minimizes the impact of taxes for your heirs.

However, you want to preserve cash for investment or business opportunities. An Immediate Financing Arrangement (IFA) can help you achieve the best of both worlds.

What is an IFA?

Business owners who want the benefit of a life insurance policy, but also want to continue to grow their business or investment income, employ this financial strategy to secure loans from third-party institutions.

An IFA uses the cash surrender value (CSV) of a life insurance policy as collateral for a loan or line of credit from a third-party lending institution. The earnings from the loan are invested in back into the business or used for investments. Interest expenses may be tax deductible as long as the loan is used as an investment to generate income*. When the life insured dies, the outstanding loan balance is paid from the death benefit payable under the insurance policy.

How it works

There are different forms an IFA strategy can take but typically, the client takes out a permanent life insurance policy, paying the full annual premium on issue. The Additional Deposit Option (ADO) of the policy is used to maximize cash surrender value in the policy's early years. The policy is then assigned to a lender as collateral for a line of credit or loan. The amount of the loan can be based on the CSV of the policy; if the amount of the loan exceeds the CSV, some lenders will assign additional collateral to secure the debt.

The corporation is the owner and beneficiary under the insurance policy. Under current tax laws, when the insured business owner dies, the company receives the proceeds of the policy tax-free and also receives a credit to its capital dividend account (CDA) for the proceeds minus the adjusted cost basis of the policy. Capital dividends may then be paid out to shareholders tax-free by following set protocols as laid out by the *Income Tax Act* (Canada).

The borrowed funds are then used to invest in a business, property or other income-producing product. Some or all of the interest costs and insurance premiums may be deducted against your taxable income. The tax savings resulting from any deductions are applied to reduce the loan each year. Upon the death of the insured, the policy's proceeds repay the debt, and any excess amount is paid to the beneficiary.

Benefits of an IFA

- Generates deductions that reduce taxable income.
- Allows for higher future loan amounts by reducing the loan balance from the annual tax savings from the deductions.
- Gets larger faster than the outstanding loan balance because insurance policy cash values grow on a tax-deferred basis.
- Insurance proceeds repay the loan at death and any excess is available to meet the estate's needs.

IFA in action

Michael and Hana are real estate developers who own and operate a business that purchases and renovates homes. They're passionate about their work and don't plan to retire anytime soon.

They want to ensure that they build a lasting financial legacy to leave to their two children. But, as they actively work to expand their business, they need to have a healthy cash flow to be available for new real estate ventures.

An IFA strategy allowed them to bring their two objectives together by purchasing a whole life insurance policy and using it as collateral to secure financing from a financial institution. They then used the proceeds of the loan to purchase more real estate to generate income for their business.

The IFA allowed them to invest capital back into their corporation and the difference between the loan and the death benefit increased the size of the estate they will leave their heirs.

Talk to your Advisor today to develop an estate plan uniquely tailored to your life circumstances.

co-operators

*Tax deductibility can vary and is dependent upon the *Income Tax Act* for determination.

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